An Act

ENROLLED HOUSE
BILL NO. 4428

By: Hilbert of the House

and

Daniels and Jett of the Senate

An Act relating to public finance; defining terms; directing Board of Trustees to vote with consideration of certain factors; requiring that exercise of shareholder votes or introduction of a proxy proposal be based on pecuniary factors; providing exception; requiring the Board to retain the authority to exercise shareholder proxy rights for certain shares; providing exception; directing the Board to produce report; directing Board to publish report on website by certain date; providing for codification; and providing an effective date.

SUBJECT: Public finance

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9101 of Title 62, unless there is created a duplication in numbering, reads as follows:

As used in this act:

1. "Company" means a publicly traded, for-profit corporation, limited liability company, partnership, or other business entity that conducts its operations and is headquartered within the United States;

2. "Company proposal" means any proposal made by a company to its shareholders that is included in the company's proxy statement, including, but not limited to, a proposal relating to director nominations or elections, executive compensation, corporate

transactions, corporate structure, auditor selection, or company policy on any subject;

3. "Default recommendation or policy" means a system, set of rules, principles, or guidelines designed to assist with voting decisions on any company proposals or proxy proposals;

4. "Pecuniary factor":

a. means a factor that a prudent person in a like capacity would reasonably believe has a material effect or impact on the financial risk or return on an investment, based on an appropriate investment horizon consistent with a retirement system's investment objectives and funding policy, and

b. does not include "nonpecuniary factors", which is any factor or consideration that is collateral to or not reasonably likely to affect or impact the financial risk and return of the investment and include, but are not limited to, the promotion, furtherance, or achievement of environmental, social, or political goals, objectives, or outcomes;

5. "Pension benefit plan" or "plan" shall mean any plan, fund, or program which was heretofore or is hereafter established, maintained, or offered by the State of Oklahoma or any subdivision, county, municipality, agency, or instrumentality thereof, or any school, college, university, administration, authority, or other enterprise operated by the State of Oklahoma, to the extent that by its terms or as a result of surrounding circumstances:

a. provides retirement income or other retirement benefits to employees or former employees, or

b. results in a deferral of income by such employees for a period extending to the termination of covered employment or beyond, and

c. the term does not include a defined contribution plan under the Retirement Freedom Act, established pursuant to Section 935.1 et seq. of Title 74 of the Oklahoma Statutes, except that investment options selected as default investment options for participating employees shall be selected in adherence to the requirements of this act;

6. "Proxy advisor" means a person who, for compensation, provides a proxy advisory service to shareholders of a company or to other persons with authority to vote on behalf of shareholders of a company;

7. "Proxy advisory service" means any of the following services that are provided in connection with or in relation to a company:

a. advice or a recommendation on how to vote on a proxy proposal or company proposal,

b. proxy statement research and analysis regarding a proxy proposal or company proposal,

c. a rating or research regarding corporate governance at one or more companies, or

d. development of proxy voting recommendations or policies, including establishing default recommendations or policies; and

8. "Proxy proposal" means any proposal made by a shareholder of a company that is included in the company's proxy statement, including, but not limited to, a proposal relating to any of the subjects that could be covered by a company proposal.

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9102 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The respective Board of Trustees of any pension benefit plan shall vote on company proposals and proxy proposals in a manner that is:

1. In keeping with its fiduciary duties;

2. Solely based on pecuniary factors; and

3. For the sole purpose of providing benefits to participants and their beneficiaries that maximize risk-adjusted returns over an appropriate investment horizon.

B. Any engagement between the Board of Trustees and a company regarding the exercise of shareholder votes or the introduction of a proxy proposal must be based solely on pecuniary factors and for the sole purpose of maximizing shareholder value, except that the Board of Trustees may engage with a company to express opposition to a company proposal or proxy proposal that does not have a pecuniary impact.

C. To the extent that it is economically practicable, the Board of Trustees must retain the authority to exercise shareholder proxy rights for shares that are owned directly or indirectly on behalf of a system.

The Board of Trustees may retain a proxy advisor to assist the Board of Trustees in exercising shareholder proxy rights, but only if the proxy advisor has a practice of following, and commits in writing to follow, proxy guidelines that are consistent with the requirements of subsection A of this section for each of its proxy advisory services.

D. The Board of Trustees shall produce an annual report tabulating and describing all of the shareholder votes cast by the Board or the Board's fiduciaries. For each shareholder vote cast during a calendar year, the report required by this subsection shall contain a vote caption, the Board's or the fiduciary's vote, the recommendation of company management, and, if applicable, the proxy advisor or other service provider's recommendation. The Board shall publish the report required by this subsection on the Board's website no later than March 1 of the calendar year following the calendar year addressed in the report.

SECTION 3. This act shall become effective November 1, 2026.

Passed the House of Representatives the 6th day of May, 2026.

____
Presiding Officer of the House
of Representatives

Passed the Senate the 28th day of April, 2026.

____
Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this ____________________

day of ___________________, 20_______, at _______ o'clock _______ M.

By: _________________________________

Approved by the Governor of the State of Oklahoma this _________

day of ___________________, 20_______, at _______ o'clock _______ M.

____
Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this __________

day of ___________________, 20_______, at _______ o'clock _______ M.

By: _________________________________